

₹10 lakh, zero risk.

What does it pay you?

Three government-backed options, the real monthly numbers, and how to open each one.

You commented "PDF", so here it is. When the PF or retirement money lands, the first question at home is always "how much will this give us every month?" This guide works out the honest answer at today's rates, the limits nobody mentions, and the exact steps to apply.

- 1 Age decides the best option.** 60 and above, SCSS pays 8.2%. Under 60, POMIS is the main monthly option at 7.4%.
- 2 Limits matter more than rates.** One person can put only ₹9 lakh in POMIS, so ₹10 lakh doesn't fit in one account.
- 3 All of it is taxable.** These are income tools, not wealth builders. After tax and inflation, the money barely grows.

YOU INVEST	BEST RATE	UP TO, MONTHLY	MARKET RISK
₹10L	8.2%	₹6,833	Zero

What ₹10 lakh *actually* pays

Same ₹10 lakh in each scheme, at the rates notified for October to December 2026. Before tax.

SCHEME	RATE	YOU PUT IN	EACH PAYOUT	PAID	PER MONTH
SCSS	8.20%	₹10,00,000	₹20,500	Quarterly	₹6,833
RBI Bonds	8.05%	₹10,00,000	₹40,250	Half-yearly	₹6,708
POMIS, joint	7.40%	₹10,00,000	₹6,167	Monthly	₹6,167
POMIS, single	7.40%	₹9,00,000	₹5,550	Monthly	₹5,550

My own calculation: $\text{deposit} \times \text{rate} \div \text{number of payouts a year}$. "Per month" converts quarterly and half-yearly payouts so the rows line up. Rounded.

1 When the money arrives

SCHEME	PAYOUT DATES	RATE STAYS FIXED?
SCSS	1 April, 1 July, 1 October, 1 January	Yes, for the full 5 years
RBI Bonds	1 January and 1 July	No, resets every 6 months
POMIS	Every month, from the month after you open	Yes, for the full 5 years

THE ONE THING TO NOTICE

The gap between the best and the worst option is about ₹1,300 a month. The bigger question is whether you are 60 yet, and how long you can lock the money away.

BEFORE YOU CELEBRATE

All of this interest is taxed at your slab rate. At 7.4% to 8.2%, after tax and with inflation mostly in the 4% to 6% range over the last decade, your ₹10 lakh barely grows in real terms. That is the price of zero market risk.

The one table *to screenshot*

Every rule that changes your decision, in one place.

	POMIS	SCSS	RBI BONDS
Rate	7.40%, fixed	8.20%, fixed	8.05%, floating
Paid	Monthly	Quarterly	Half-yearly
Maximum	₹9L single, ₹15L joint	₹30L per person	No limit
Lock-in	5 years	5 years, +3 extension	7 years
Who	Resident adults	60+ (some retirees 55+ or 50+)	Resident individuals, HUFs
Early exit	After 1 yr, with penalty	After 1 yr, with penalty	Only 60+, after 4 to 6 yrs
TDS	Not deducted	Only above ₹1L interest a year	Above ₹10,000 a year
80C	No	Yes, old regime only	No
NRIs	No	No	No
Where	Post office	Post office or bank	Bank or RBI Retail Direct

TDS is Tax Deducted at Source, the tax cut before money reaches you. 80C is the old-regime deduction capped at ₹1.5 lakh a year.

2 Five things the viral version gets wrong

- "₹6,167 a month from POMIS on ₹10 lakh."** One person can invest only ₹9 lakh. ₹6,167 needs a joint account; a single holder tops out at ₹5,550.
- "SCSS cuts TDS above ₹50,000."** For senior citizens the limit is ₹1 lakh a year. ₹10 lakh earns ₹82,000, so no TDS at all.
- "RBI Bonds: seniors can exit after 3 to 5 years."** It is 6 years (60 to 70), 5 years (70 to 80) and 4 years (80+), and half of the last six months' interest is cut.
- "Floating rate protects you when rates drop."** It's the opposite. If the NSC rate falls, your bond income falls with it.
- "Submit Form 15G or 15H."** From 1 April 2026 both were replaced by one Form 121. And the SCSS 80C deduction only works in the old regime.

Post Office Monthly Income Scheme, *the second salary*

Same amount, same date, every month, for five years. The closest thing to a pension for people under 60.

3 At a glance

ITEM	DETAIL
Rate	7.40% a year, locked for 5 years at the rate on the day you open
Deposit	₹1,000 minimum. ₹9 lakh single, ₹15 lakh joint (up to 3 adults)
₹9 lakh pays	₹5,550 every month
Paid into	Your Post Office savings account, and onward to any bank through ECS
Early closure	Not in year 1. Years 1 to 3: 2% of deposit cut. After 3 years: 1% cut
Tax	Taxed at your slab. No TDS, so declare it yourself in your return
Also	Nominee allowed. A guardian can open one for a child aged 10+

4 How to open it

- 1 Open a Post Office savings account** if you don't have one. The monthly interest lands here.
- 2 Carry Aadhaar, PAN, two photos** and a cheque for the deposit to your post office.
- 3 Fill the MIS opening form** (free at the counter) with the amount and a nominee.
- 4 Collect the passbook.** Interest starts from the next month. Ask for the ECS form to send it to your regular bank.

If your Post Office account has internet banking, some branches allow opening MIS online. Most people still do it at the counter.

GOOD

- Monthly income that suits household bills
- Backed by the Government of India
- No TDS cut from your payout
- 1.5 lakh+ post offices

WATCH OUT

- ₹9 lakh cap per person
- No 80C benefit
- 1% to 2% penalty on early exit
- Mostly offline

Senior Citizens' Savings Scheme, *the highest rate*

The best rate the government pays on any small savings scheme. The catch: you have to be old enough to open it.

5 At a glance

ITEM	DETAIL
Rate	8.20% a year, fixed for 5 years at the rate on the day you open
Deposit	₹1,000 minimum, in multiples of ₹1,000. ₹30 lakh per person
₹10 lakh pays	₹20,500 every quarter
Who can open	60+. Retired civilians 55 to 60 and retired defence staff 50 to 60, within a month of getting retirement benefits
Joint	With spouse only. The first holder's age decides eligibility
Tenure	5 years, extendable by 3 years (apply within a year of maturity)
Early closure	Before 1 yr: interest taken back. 1 to 2 yrs: 1.5% cut. After 2 yrs: 1% cut
Tax	Taxed at slab. TDS only above ₹1 lakh interest a year. 80C up to ₹1.5L, old regime only

6 How to open it

- 1** Pick a post office or an authorised bank such as SBI, PNB, Bank of Baroda or Canara.
- 2** Carry Aadhaar, PAN, age proof, two photos, and retirement proof if you are under 60.
- 3** Fill the SCSS form, add a nominee, and give your savings account for payouts. Cash only up to ₹1 lakh.
- 4** File Form 121 every April if your total income is below the taxable limit, so no TDS is cut.

GOOD

- Best government rate right now
- ₹30 lakh each, ₹60 lakh for a couple
- 80C for old-regime filers
- Bank or post office

WATCH OUT

- Quarterly, not monthly
- Age-gated
- Interest fully taxable
- 1% to 1.5% early exit cost

RBI Floating Rate Savings Bonds, *no ceiling*

Where the money goes after POMIS and SCSS are full. Long lock-in, no maximum, and a rate that moves with NSC.

7 At a glance

ITEM	DETAIL
Rate	8.05% for July to December 2026 (NSC 7.7% + 0.35%). Resets every six months; if NSC falls, so does your income
Deposit	₹1,000 minimum, in multiples of ₹1,000. No maximum
₹10 lakh pays	₹40,250 every six months
Tenure	7 years
Early exit	Only 60+: after 6 yrs (60 to 70), 5 yrs (70 to 80), 4 yrs (80+). Half of the last six months' interest is cut
Who	Resident individuals (joint allowed), HUFs, minors through a guardian. Not NRIs
Tax	Taxed at slab. TDS once interest crosses ₹10,000 a year
Limits	Held electronically. Cannot be sold, transferred or pledged for a loan

8 How to buy

- Online, direct:** register on RBI Retail Direct with PAN, Aadhaar and bank details, then pick Floating Rate Savings Bonds.
- Online, through your bank:** SBI, HDFC, ICICI, Axis and other agency banks list it under Investments in net banking.
- Offline:** fill the form at an agency bank branch with KYC copies and a cheque.

GOOD

- No investment ceiling
- Issued by the Government of India through RBI
- Fully digital option
- Earns more if rates rise

WATCH OUT

- 7 years, no exit under 60
- Earns less if rates fall
- TDS on payouts
- No 80C, no loan against it

Three situations, *worked out*

Worked examples to show how the limits interact, not advice for your family. Your tax slab, other income and cash needs change the answer.

9 Under 60, with ₹10 lakh

WHERE	AMOUNT	PAYS
POMIS, single	₹9,00,000	₹5,550 a month
RBI Bonds	₹1,00,000	₹4,025 every 6 months

SCSS is closed to you. Worth asking: does the last ₹1 lakh need a 7-year lock, or should it be your emergency money?

10 60 or above, with ₹10 lakh

WHERE	AMOUNT	PAYS
SCSS	₹10,00,000	₹20,500 a quarter

₹82,000 a year stays under the ₹1 lakh TDS line. Need it monthly? Park each payout in a savings account and draw from it.

11 Retired couple, both 60+, with ₹60 lakh

WHERE	AMOUNT	PAYS
SCSS, each spouse	₹30L + ₹30L	₹1,23,000 a quarter

Each earns ₹2.46 lakh a year, above the TDS line. Beyond ₹60 lakh, POMIS comes next, then RBI Bonds.

THE QUESTION NOBODY ASKS

All three lock your money for 5 to 7 years. Keep about 6 months of expenses somewhere you can withdraw tomorrow first. A 1% to 2% penalty on ₹10 lakh is ₹10,000 to ₹20,000 you didn't need to lose.

The glossary, *in plain words*

The words the post office or bank counter will use. Here's what they mean.

POMIS

POST OFFICE MONTHLY INCOME SCHEME

A 5-year post office deposit that pays interest every month.

"Maasa maasam fixed ah vatti varum."

TDS

TAX DEDUCTED AT SOURCE

Tax the payer cuts before the interest reaches you.

"Panam varradhukku munnadiye tax pudichikiraanga."

Lock-in

MINIMUM HOLDING PERIOD

How long the money must stay before you can take it out.

"Ivlo naal edukka mudiyadhu."

Slab rate

YOUR INCOME TAX BRACKET

The rate your total income is taxed at. Interest is added on top.

"Unga income ku endha tax rate oh adhu."

SCSS

SENIOR CITIZENS' SAVINGS SCHEME

A 5-year deposit only for people 60 and above, paid quarterly.

"60 vayasu mela irukkavangalukku mattum."

Form 121

NO-TDS DECLARATION

Replaced Forms 15G and 15H from April 2026. Filed if your income is below the taxable limit.

"En income ku tax illa nu solra form."

Premature closure

EARLY EXIT

Closing before maturity, usually with a penalty.

"Seekiram eduthaa, fine undu."

ECS / NACH

AUTO-CREDIT MANDATE

Lets interest move automatically into your bank account.

"Vatti automatic ah bank ku varum."

FRSB

FLOATING RATE SAVINGS BONDS

7-year RBI bonds whose rate resets every six months.

"Vatti aaru maasathukku oru dharavai maarum."

Section 80C

OLD-REGIME DEDUCTION

Lets you reduce taxable income by up to ₹1.5 lakh a year.

"Old regime la mattum dhaan."

NSC

NATIONAL SAVINGS CERTIFICATE

A post office scheme. Its rate plus 0.35% sets the RBI Bond rate.

"RBI bond vatti idhai vechu dhaan."

HUF

HINDU UNDIVIDED FAMILY

A family unit taxed separately. Can buy RBI Bonds, not SCSS.

"Kudumbam per la oru tax account."

How the numbers *were checked*

Every rate here moves. This is where each one came from, checked on 30 September 2026.

1. Small savings rates for October to December 2026 (POMIS 7.4%, SCSS 8.2%, NSC 7.7%): Ministry of Finance notification of 30 September 2026, unchanged from the previous quarter.
2. RBI Floating Rate Savings Bonds 2020 (Taxable): 8.05% for July to December 2026, set at NSC + 0.35%. Features and senior exit rules from SBI's FRSB 2020 salient features page.
3. POMIS and SCSS limits, penalties and eligibility: Post Office Savings Scheme rules as published by India Post and the National Savings Institute.
4. TDS thresholds (₹1 lakh for senior citizens, ₹10,000 for bond interest) and Form 121 replacing Forms 15G and 15H: Income-tax Act 2025, in force from 1 April 2026.
5. Payouts are simple interest, before tax: $\text{deposit} \times \text{rate} \div \text{payouts per year}$. Rounded.

12 Check the current rate yourself

WHAT	WHERE
Small savings rates each quarter	dea.gov.in
POMIS and SCSS rules	indiapost.gov.in · nsiindia.gov.in
RBI Bonds, buy direct	rbiretaildirect.org.in
RBI Bond rate announcements	rbi.org.in
Form 121 and tax rules	incometax.gov.in

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific scheme for you. I am not a SEBI-registered investment adviser. Rates and rules change; verify on the official sites above and speak to a registered adviser or tax professional before investing.

Opening one of these for your parents? *Tell me which one* in the comments.

Free to share. Made by Abinash at [@buildwithabinash](https://twitter.com/buildwithabinash). Send this to the person at home who is about to decide where the retirement money goes.